Erudite Africa Connect

SECTOR INVESTMENT REPORT · ETHIOPIA

Agriculture and agro-processing

Opportunities, published returns and incentives, drawn exclusively from reports by international institutions and the Government of Ethiopia.

PUBLIC EDITION

Erudite Africa Connect · Powering Smarter Business Decisions
Erudite Africa Investments PLC · Addis Ababa

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Executive summary

Coffee export earnings reached a record 3 billion USD in the budget year that ended in July 2026, and agriculture accounted for 32.8 percent of Ethiopia's GDP and 60.1 percent of employment in 2025 (World Bank). The Ethiopian Investment Commission promotes agro-processing in edible oil, juices, animal feed, tomato and poultry, where large shares of demand are currently met by imports, and integrated agro-industrial parks offer ready-made sheds with income and export tax exemptions. FAO-hosted investment cases presented in 2025 and 2026 project internal rates of return of 20.8 to 32 percent for animal feed, ranching, poultry and coffee projects.

COFFEE EXPORT EARNINGS
3 billion USD (government target achieved)

COFFEE EXPORTS, PREVIOUS FISCAL YEAR
2.65 billion USD from over 470,000 tons

HORTICULTURE EXPORTS (FLOWERS, FRUITS, VEGETABLES)
288.48 million USD from 160,317.79 tons, 70.9 percent of the plan for the period

PULSES AND OILSEEDS EXPORTS
Over 610 million USD, 7.35 percent of 8.3 billion USD national export earnings

01 Key indicators

Indicator	Value	Period
Coffee export earnings	**3 billion USD (government target achieved)**	Budget year ending July 2026 (2018 Ethiopian fiscal year), reported 2026-07-03
Coffee exports, previous fiscal year	**2.65 billion USD from over 470,000 tons**	2017 Ethiopian fiscal year (2024/25)
Horticulture exports (flowers, fruits, vegetables)	**288.48 million USD from 160,317.79 tons, 70.9 percent of the plan for the period**	First seven months of the 2018 Ethiopian fiscal year, reported 2026-02-27
Pulses and oilseeds exports	**Over 610 million USD, 7.35 percent of 8.3 billion USD national export earnings**	2017 Ethiopian fiscal year (2024/25)
Meat and slaughter by-product exports	**120 million USD; over 22,620 tons, up 53 percent from the previous year**	2017 Ethiopian fiscal year (2024/25)
Agriculture, forestry and fishing, value added	**32.8186147009719 percent of GDP**	2025

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Indicator	Value	Period
Employment in agriculture (modeled ILO estimate)	**60.1432419652977 percent of total employment**	2025
Agriculture, real growth	**6.2 percent (estimate); 7.3 percent in 2024/25**	FY2025/26
Yirgalem integrated agro-industrial park	**About 17,000 jobs, market linkage for 130,000 farmers, some 24 investors with registered capital of 9.5 billion Birr, 16.7 million USD in exports**	Cumulative, reported 2024-09-23 (exports over the last four years)

02 Returns and yields

Measure	Value	Period	Basis
Coffee rejuvenation investment case	**IRR 32%; NPV USD 2 billion at a 7% discount rate**	Hand-in-Hand Investment Forum 2025	Projected internal rate of return for a proposed replanting and stumping program, from an FAO-hosted Ethiopia investment case; not an observed return
Coffee processing (dry and wet mills) investment case	**IRR 30% for both dry and wet processing**	Hand-in-Hand Investment Forum 2025	Projected internal rate of return for proposed coffee processing factories (FAO-hosted investment case)
Grandparent stock poultry farming investment case	**IRR 30%; NPV USD 4.2M on USD 9M investment**	Hand-in-Hand Investment Forum 2026	Projected internal rate of return for a proposed investment case (FAO-hosted)
Extensive rangeland management (ranching) investment case	**IRR 25%; NPV USD 91.7M on USD 136.6M investment**	Hand-in-Hand Investment Forum 2026	Projected internal rate of return for a proposed investment case (FAO-hosted); the page's body text gives NPV USD 90.5M and investment USD 136.5M
Animal feed investment case	**IRR 20.8%; NPV USD 95.5M on USD 248.2M investment**	Hand-in-Hand Investment Forum 2026	Projected internal rate of return for a proposed investment case (FAO-hosted)
Ethiopia Hand-in-Hand investment portfolio, overall	**IRR 22.7%; total NPV USD 312.7M on USD 744.6M total investment**	Hand-in-Hand Investment Forum 2026	Projected portfolio internal rate of return across the four 2026 Ethiopia investment cases (FAO-hosted)
Loan interest rates in the coffee value chain	**18-30%**	2025 study	Range of interest rates borrowers in the coffee value chain face (cost of capital, not a return)

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Measure	Value	Period	Basis
Commercial banks' weighted average long-term lending rate	**17.9 percent**	End-September 2025	Economy-wide lending rate, not specific to agriculture
91-day Treasury bill yield (benchmark)	**11.0 percent (16.1 percent in the same period a year earlier); weighted average for all T-bills 12.3 percent**	May 2026	Risk-free local-currency benchmark yield

No source we reviewed publishes an observed average return on investment for the sector. The return figures above are projected IRRs for specific proposed investment cases in FAO Hand-in-Hand materials, plus cost-of-capital benchmarks (coffee-chain loan rates, the economy-wide lending rate, and the 91-day Treasury bill yield).

03 Investment opportunities

- **Edible oil processing.** Edible oil demand is above 850,000 MT against 550,000 MT of supply, with 95 percent of supply imported at over US$650 million per year; EIC lists sesame, soybean, niger seed, groundnut and linseed processing.
- **Animal feed and poultry.** EIC cites US$150 million of unmet domestic demand for animal feed. An FAO-hosted 2026 investment case for animal feed projects an IRR of 20.8 percent.
- **Coffee processing and rejuvenation.** FAO-hosted 2025 investment cases propose dry and wet coffee processing factories (USD 164.4 million and USD 97.2 million) and coffee rejuvenation, with projected IRRs of 30 and 32 percent.
- **Integrated agro-industrial parks.** Parks at Burie, Yirgalem and Bulbula offer ready-made sheds of 1,500 to 3,500 square meters at US$1.5 per square meter per month for foreign investors, and power at US$0.045/kWh.
- **Tomato and tropical fruit processing.** Processed tomato demand is growing 15 percent per year with 55 percent imported, and the local tropical juice market is over US$100 million, 40 percent unmet.
- **Livestock-based industries and leather inputs.** EIC lists 65,354,092 cows, 50,243,044 goats and 39,894,394 sheep and promotes animal ranches and the tanning of hides and skins.

04 Incentives

- Integrated agro-industrial park investors get completed infrastructure, income tax exemption, export tax exemption, streamlined and expedited procedures, and access to an Export Credit Guarantee Scheme.
- Exemption from duties and other taxes on imports of machinery, equipment and construction material (also spare parts, raw materials and vehicles), plus a duty-free privilege for exporters.
- Up to 10 years income-tax holiday for enterprises producing inside industrial parks.

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- The World Bank reports a significant increase in agricultural machinery imports in FY26 that benefited from import duty waivers and forex availability.

05 Points to consider

- Access to finance: UNIDO estimates the coffee value chain's overall financing gap at 95 percent, with loan interest rates of 18-30 percent, so financing structure is a key part of project planning.
- Farm productivity: about 80 percent of coffee trees are 50-70 years old and adoption of good agricultural practices is low, and climate, pests and diseases need active management; the coffee rejuvenation investment case above targets this replanting need.
- Input and operating factors: FAO-hosted investment cases point to raw material supply consistency and price movements for feed, climate and land suitability for ranching, and capital costs, foreign exchange access and animal health for poultry.
- Export finance: the World Bank notes that bank liquidity and lending limits affect exporters' ability to finance international orders, particularly for smaller exporters; the same project document reports improved forex availability in FY26.

A detailed risk and outlook assessment for a specific business or investment is part of Erudite Africa Connect's analyst due diligence. Contact us to arrange one.

References for members. Every figure and statement in this report is drawn from documents published by international institutions and the Government of Ethiopia. The full list of sources, with document titles, dates, page references and direct links, is included in the member edition, available free to registered Erudite Africa Connect members on the platform.

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